

ANNOUNCEMENTS

1 Software Earnings Week Will Decide Whether AI Really Is Killing Enterprise SaaS

Source: *The Information, PYMNTS* · 2026-05-25

Attention turns to first fiscal quarter results from Salesforce, Snowflake, and Asana. The IGV enterprise software index fell roughly 23 percent earlier this year on fears that AI agents would eat seat-based SaaS.

2 SpaceX, xAI, and Anthropic Reveal the New Economics of AI Compute

Source: *Clouded Judgement (Jamin Ball)* · 2026-05-22

SpaceX's IPO filing disclosed that Anthropic will pay roughly \$1.25 billion per month, about \$15 billion per year, to use the Colossus data center capacity that xAI originally built to train Grok models.

3 DeepSeek Makes Its 75 Percent Price Cut Permanent, Escalating the AI Price War

Source: *Reuters* · 2026-05-23

Chinese AI developer DeepSeek announced it will permanently keep a 75 percent price cut on its flagship V4-Pro model. The change drops V4-Pro pricing to roughly a quarter of its original level, with output token costs cited at around \$0.

4 Nvidia Reshapes Reporting Into Hyperscalers vs Everyone Else as Inference Demand Diverges

Source: *Stratechery* · 2026-05-26

Following Nvidia's Q1 FY26 results, Stratechery argues Nvidia is restructuring segment reporting to separate hyperscaler sales from everyone else. Nvidia delivered record data center revenue but absorbed a roughly \$4.5 billion charge tied to lost H20 sales in China.

THE WEEK IN ONE LINE

AI's cost curve is bending faster than the market has priced, the software earnings cycle will force a reckoning on the AI-displacement thesis, and the valuation gap between AI hype and AI economics is opening at multiple points in the stack — all of which creates activist terrain.

Sources: Various AI/tech news outlets

keel3.com

This brief is for informational purposes only and does not constitute legal, regulatory, or financial advice.

WHAT IT MEANS

For an activist investor, a sector-wide 23% drawdown on a thesis that has not yet been tested in earnings is exactly the kind of dislocation that creates entry points —...

Like: *It is the moment in a long argument about a leak when the plumber finally lifts the floorboard.*

The most valuable layer of the AI economy may not be the model builders — it may be the physical infrastructure underneath them.

Like: *It is like a railroad boom in which the companies selling steel rails and trackside land may capture more lasting...*

A permanent 75% price cut from a credible frontier competitor is a commoditization signal that the market has not fully priced.

Like: *It is like a new airline permanently pricing every seat at a quarter of the going rate.*

The simple Nvidia margin curve that has anchored AI infrastructure valuations for two years is fragmenting. Hyperscaler demand is behaving differently from enterprise demand, custom silicon (Groq, Cerebras, ByteDance's own...

Like: *It is the moment an airline realizes its biggest corporate customers are starting to buy their own planes.*

WHAT IT MEANS FOR: ALPINE ASSOCIATES

EVENT-DRIVEN OPPORTUNITY

A 23% sector drawdown driven by a thesis — AI agents will eat seat-based SaaS — that has not yet shown up in revenue is the definition of a mispricing opportunity.

VALUATION DISLOCATION

The SpaceX IPO filing gives Alpine two distinct activist lenses on the AI compute stack. First, companies whose valuations are anchored to the thesis that model builders capture durable economics — those multiples may be...

SHORT/LONG CATALYST

The permanent 75% price cut is the cleanest commoditization signal yet, and it creates two activist plays. Short thesis: screen for public companies whose AI revenue depends on premium model pricing — any name where...

SHORT THESIS DEVELOPMENT

Nvidia's reporting restructure is the kind of forced transparency that creates activist opportunity. When a company that has been able to report one clean number starts splitting its business into segments with different growth rates...